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POLICY NUMBER: FP-OPSFIN-113

Guest Refunds and Paid Outs

This policy provides guidance around the issuance of guest refunds and paid outs.

POLICY STATEMENT

Guest refunds are monies paid back to the guest for either an overpayment or service recovery.

Paid outs are in the form of cash and may be a refund of a cash overpayment or expenses paid by the Hotel on behalf of the guest where the same amount is later charged to the guest room or group account.

APPLICABILITY

All Owned & Operated Hotels (including Shared Service Centers supporting these hotels).

EXCLUSIONS/EXCEPTIONS

For all hotels located in the U.S. or U.S. Territories SOP-OPSFIN-210US must also be referenced. Hotels located outside of the U.S. or U.S. Territories are not subject to the terms of SOP-OPSFIN-210US and are required to determine and comply with any money laundering legislation in their location.

A. GUEST REFUND GUIDANCE

- 1) All guest refunds must be in the same form of settlement as the original payment received from the guest. If a guest upon check out has a credit balance remaining the front desk needs to verify the original settlement type prior to processing the refund.
- 2) The primary payment/refund procedures by type are as follows:
 - a. Cash refunds – these may be refunded in cash via a paid out; see Section B of this policy for further guidance.
 - b. Check refunds – must be refunded via a check or a bank transfer and processed through Finance. The Hotel must verify that the original check received has cleared the bank prior to processing the refund.
 - c. Bank transfer refunds – must be refunded to the same account that the initial payments initiated from.
 - d. Credit Card Refunds – these should be transactions after the credit card was charged and the settlement was processed by the merchant. Refer to FP-OPSFIN-123 Credit Card Balancing, Refunds, & Chargebacks for further guidance on credit card refunds.

B. PAID OUT GUIDANCE

- 1) The following are the three types of paid outs:
 - a. Payment on behalf of a guest to a third party, such as a taxi company. However this must be limited to emergency situations or to cases when the guest is unable to use another form of payment.
 - b. Cash advances issued directly to the guest or group
 - c. Guests who pay a cash deposit upon check-in, and check-out with a remaining credit balance, which needs to be returned.

- 2) For payments to third parties, the following must occur:
- a. The Hotel must set the limits under which Team Members can process paid outs and the maximum allowable limit per guest stay (i.e., not a daily limit).
 - b. Two receipts are to be generated by the PMS detailing the amount of the paid out and requiring the signatures of both the guest and the Team Member. One receipt must be given to the guest and a signed copy of the receipt must be kept for the Hotel's records.
- 3) For cash advances issued directly to the guest or group, the following must occur:
- a. For Hotels located in the U.S. or U.S. Territories, cash advances paid directly to guests are not permitted. The only exception to this is group advances, which require approval of both the Operations Leader and Finance Leader on a case by case basis. For Hotels located outside of the U.S. or U.S. Territories, it is at the Hotel's discretion if paid outs for cash are issued directly to a guest.
 - b. A limit must be set on the maximum amount of cash paid out that may be made to a guest or group during their stay.
 - c. Payment for the cash paid out should be taken immediately by charging the guest or group credit card and not just charged to their folio or account. Only groups with approved direct bill status, the charges may be added to the group account.
 - d. A commission should be charged and the value of the commission will be determined by the Finance Leader based on local market conditions.
 - e. Two receipts are to be generated by the PMS detailing the amount of the paid out and requiring the signatures of both the guest and the Team Member. One receipt must be given to the guest and a signed copy of the receipt must be kept for the Hotel's records.
- 4) Paid outs are only to be issued from the Front Desk and must be processed through the PMS system. No paid outs are to be made from an outlet.
- 5) All paid outs are to be compiled, routed, and approved by the Finance Leader or Operations Leader on a daily basis.

DEFINITIONS

TERM/ACRONYM	DEFINITION
Finance Leader	Ranking Accounting / Finance representative for the property (i.e., DOF, Controller, or Finance Manager).
Group Advances	A cash advance made to an authorized group representative. Group advances are typically for cash tips paid to Team Members and advance approval is required by both the Finance Leader and the Operations Leader. All cash advances must be posted in PMS.